Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.

THE ESSENTIAL ELEMENTS OF A PARTNERSHIP

A partnership must have three essential elements:

1. There must be an agreement entered into by two or more persons: The first element shows the voluntary contractual nature of partnership. A partnership can only arise as a result of an agreement, express or implied, between two or more persons. Where there is no agreement there is no partnership.

2. The agreement must be to share the profits of a business: The second element states the motive underlying the formation of a partnership. It also lays down that the existence of a business is essential to a partnership. Business includes any trade, occupation or profession. If two or more persons join together to form a music club it is not a partnership because there is no business in this case. But if two or more persons join together to give musical performances to the public with a view to earning profit, there is a business and a partnership is formed.

3. The business must be carried on by all or any of them acting for all.

The third element is the most important feature of partnership. It states that persons carrying on business in partnership are agents as well as principals. The business of a firm is carried on by all or by any one or more of them on behalf of all. Every partner has the authority to act on behalf of all and can, by his actions, bind all the partners of the firm. Each partner is the agent of the others in all matters connected with the business of the partnership business. But if there is any fraudulent intention, he may be stopped from doing so.

Types of partnership:

Partnership-at-will: A partnership is called a partnership-at-will (i) when the partnership is not for a fixed period of time and (ii) when no provision is made as to when and how the partnership will come to an end. A partnership-at-will can be dissolved whenever any partner chooses to do so.

Particular Partnership: particular partnership is one which is formed for a particular adventure or a particular undertaking. Such a partnership is usually dissolved on the completion of the adventure or undertaking.

Limited Partnership: In Great Britain, according to the provisions of the Limited Partnership Act of 1907, a partnership may be formed, in which the liability of all partners (except one) is limited. There must be at least one partner with unlimited liability.

Different types of partners:

1. Active partner: An active partner refers to a partner who active participation in the firm and carries the daily business activities on behalf of all the partners.

2. Sleeping partner: This is a partner that does not participate in the daily functioning of the partnership firm.

3. Nominal partner: A nominal partner is one who allows the use of his/her name by a firm but does not contribute to its capital. He/ She does not take active part in managing and does not share its profits or losses but his liability is unlimited like other partners 4. Partner by Estoppel: A partner by estoppel is when an individual represents himself as partner, either by words writen or spoken or by conduct. He is said to be liable to all those who, relying on such a representation. (অর্থাৎ, যে ব্যক্তি নিজের কথা বা কাজ

দ্বারা নিজেকে কোনো ব্যবসায়ের অংশীদার বলে দাবি করে কিন্তু প্রকৃতপক্ষে অংশীধার নয় তাকে Partners by Estoppel বলে। যদি কোনো ব্যক্তি তার এসব কথা বা কাজে প্রভাবিত হয়ে কোনো লেনদেন করে তাহলে Partners by Estoppel ঐ ব্যক্তির কাছে দায়বদ্ধ থাকবে)

5. Minor partner: A partner who is below 18 (eighteen) is called minor partner. After reaching the age of majority, the minor must provide public notice of whether or not he wants to remain a partner in the firm. He/she does not share in the loss but only in profit and he is not liable to third party for the business liability.

The Partnership Act lays down two general rules regarding the conduct of the partners to one another.

1. "Partners are bound to carry on the business of the firm to the greatest common advantage, to be just and faithful to each other, and to render true accounts and full information of all things affecting the firm to any partner or his legal representative.

This section lay down that the relationship between partners is one of utmost good faith. Though partners are not trustees for one another, it has been held in some cases that the relationship between them is of a fiduciary character.

2. "Every partner shall indemnify the firm for any loss caused to it by his fraud in the conduct of the business of the firm. This rules' follows logically from the rule laid down in the previous section. Since partnership implies utmost good faith, (a partner must not act fraudulently against the firm. If he does, he must make up the loss.)

Subject to the general principles stated above the following rules are laid down in the Act regarding the relationship between the partners as regards the management of the business and their mutual rights and duties:

1. Rules regarding the conduct of the business. Subject to any agreement to the contrary, the following rules apply as regards the management of a firm:

(a) every partner has a right to take part in the conduct of the business;

(b) every partner is bound to attend diligently to his duties in the conduct of the business;

(c) any difference arising as to ordinary matters connected with the business may be decided by a majority of the partners, and every partner shall have the right to ex- press his opinion before the matter is decided but no change may be made in the nature of the business without the consent of all the partners; and

(d) every partner has a right to have access to and to inspect and copy any of the books of the firm.

2. Mutual rights and duties: Subject to any contract to the contrary, the mutual rights and duties of partners are as follows:

(a) a partner is not entitled to receive renunciation for taking part in the conduct of the business;

(b) the partners are entitled to share equally in the profits earned and shall contribute equally to the losses sustained by the firm:

(c) where a partner is entitled to interest on the capital sub- scribed by him such interest shall be payable only out of profits:

(d) a partner making, for the purposes of the business, any payment or advance beyond the amount of capital he has agreed to subscribe, is entitled to interest thereon at the rate of six per cent, per annum:

(e)The firm shall indemnify a partner in respect of payments made and liabilities incurred by him- (i) in the ordinary and proper conduct of the business, and

3. Secret Profits: Subject to contract between the partners.

a) If a partner derives any profit for him from any transaction of the firm, or from the use of the property or business connection of the firm or the firm name, he shall account for that profit and pay it to the firm;

(b) if a partner carries on any business of the same nature as and competing with that of the firm, he shall ac- count for and pay to the firm all profits made by him in that business.

RECONSTITUTION OF A FIRM

The constitution of a firm may be changed by the introduction of a new partner; death, retirement, insolvency and expulsion of a partner: or by the transfer of a partner's share to an outsider. All these cases are included within the term Reconstitution of a firm. Upon reconstitution, the rights and liabilities of the incoming and out-going partners have to be determined. The provisions of the Partnership Act regarding such cases are stated below.

Introduction of a New Partner: A new partner can be introduced only with the consent of all the partners. The share of profits which a new partner is entitled to get is fixed at the time he becomes a partner. He is liable for all the debts of the firm after the date of his admission but he is not responsible for any act of the firm done before he became a partner, unless otherwise agreed. These rules do not apply to a minor becoming a partner.

Retirement of a Partner: A partner may retire (a) with the consent of all the other partners, (b) in accordance with the terms of the agreement of partnership, or (c) where the partnership is at will, by giving notice in writing to all the other partners of his intention to retire.

A retiring partner may be discharged from any liability to any third party for acts of the firm done before his retirement if it is so agreed with the third party and the partners of the reconstituted firm. Such agreement may be implied from the course of dealing between the firm and the third party after he had knowledge of the retirement.

The retired partner continues to remain liable to third parties for all acts of the firm until public notice is given of the retirement. Such notice may be given either by the retired partner or by any member of the reconstituted firm.

Expulsion of a Partner: A partner can be expelled only when the following conditions are fulfilled:

(a) When the contract of partnership contains a provision for expulsion under stated circumstances.

RIGHTS AND LIABILITIES OF PARTNERS

If the firm is dissolved, the usual procedure in case of dissolution is adopted (ie. the assets are collected and the debts and charges are paid). If any balance remains due to the insolvent out of the assets, the same is handed over to the official assignee or the official receiver.

If the firm is not dissolved by the insolvency, the share of the insolvent partner vests in the official assignee or the official receiver. Thereafter the estate of the insolvent partner is not liable for any act of the firm and the firm is not liable for any act of the insolvent done after the date of the order of adjudication.

Death of a Partner: Ordinarily the death of a partner has the effect of dissolving the firm. But it is competent for the partners to agree that the firm will continue to exist even after the death of a partner.

Where the firm is not dissolved by the death of a partner, the estate of the deceased partner is not liable for any act of the firm done after his death.

Transfer of a Partner's interest: A partner may transfer his interest in a firm to an outsider. The transfer may be absolute or partial. The interest may also be sold to a third party in execution of a decree of a court. The transferee in such cases gets very limited rights over the firm.

Sub-partnership: The transferee of a share of a partner's interest in a firm is sometimes called a Sub-partner and the relationship a Sub-partnership. Suppose that X, the owner of i share of a firm, transfers of his share to Y. The transfer Y becomes a sub-partner.

DISSOLUTION OF FIRMS

Dissolution of a firm means the end of a firm by the break- up of the relation of partnership between all the partners. Dissolution is to be distinguished from reconstitution of a firm. In the latter case, the partnership continues but there is a change in the number of partners.

THE GROUNDS OF DISSOLUTION

A firm may be dissolved on any one of the following grounds:

1. By agreement: A firm may be dissolved any time with the consent of all the partners of the firm. Partnership is created by contract, it can also be terminated by contract.

2. By notice: Where the partnership is at will, the firm may be dissolved by any partner giving notice in writing to all the other partners of his intention to dissolve the firm. The firm is dissolved as from the date mentioned in the notice as the date of dissolution, or, if no date is mentioned, as from the date of communication of the notice.

3. On the happening of Certain Contingencies: A firm is dissolved- (a) if constituted for a fixed term, by the expiry of that term: b) undertakings by the completion thereof: (c) by the death of a partner: and (d) by the adjudication of a partner as an insolvent.

4. Compulsory Dissolution: A firm is dissolved

(a) by the adjudication of all the partners or of all the partners but one as insolvent, or

(b) by the happening of any event which makes the business of the firm unlawful,

But if a firm has more than one undertaking, some of which become unlawful and some remain lawful, the firm may continue to carry on the lawful undertakings.

5. Dissolution by the Court: At the suit of a partner, the court may dissolve a firm on any one of the following grounds: (a) If a partner becomes insane. (The suit for dissolution in this case can be filed by the next friend of the insane partner or by any other partner).

(b) If a partner becomes permanently incapable of performing his duties as a partner. Permanent incapacity may arise from an incurable illness like paralysis.

The suit for dissolution in this case must be brought by a other than the person who has become incapable.

(d) If a partner willfully and persistently commits breach of the partnership agreement regarding management, or otherwise conducts himself in such a way that it is not reasonably practicable for the other partners to carry on business in partnership with him.

WHAT IS A COMPANY?

Definition

The term Company is used to describe an association of a number of persons, formed for some common purpose and registered according to the law relating to companies. Section 3(1)(i) of the Companies Act, 1956 states that a company means. "a company formed and registered under this Act or an existing company."

One-man Company or Family Company

Even when a single person holds most of the shares of a company, the company has a legal personality separate and distinct from the owner of the majority of the shares. A person can form a company by getting a few nominees or dummies, get registration and commence business. Salomon v. Salomon & Co. Lid.

Statutory Company

A company or corporation, formed by an Act of the Legislature, is called Statutory Corporation.

Chartered Company

Formerly in Great Britain, companies were formed by Royal Charter for specific purpose, e.g.. East India Company. A Chartered Company is regulated by the terms of its Charter.

Registered Company

A company must be registered under the Companies Act. After registration, the Registrar of the companies issues a Certificate of Incorporation. After that the company becomes a Registered Company.

Unregistered Company

If an association or company is not registered it should be called unregistered company. ESSENTIAL

FEATURES OF A COMPANY

The principal characteristics of an incorporated company can be summarized as follows:

1. Registration: A company comes into existence only after registration under the Companies Act. But a Statutory Corporation is formed and commence business as notified or stated in the Act and as passed in the Legislature.
2. Voluntary Association: A company is an association of many persons on a voluntary basis. Therefore a company is formed by the choice and consent of the members.
3. Legal personality: A company is regarded by law as a single person. It has a legal personality. This rule applies even in the case of "One-man Company," Salomon v. Salomon & Co. (ibid.).
4. Contractual capacity: A shareholder of a company, in its individual capacity, cannot bind the company in any way. The shareholder of a company can enter into contract with the company and can be an employee of the company.
5. Management: A company is managed by the Board of Directors, whole time Directors, Managing Director or Manager. These persons are selected in the manner provided by the Act and the Articles of Association of the company. A shareholder,

7. Permanent existence: The company has Perpetual Succession. The death or insolvency of a shareholder does not affect its existence. A company comes into end only when it is liquidated according to provisions of the Companies Act.
8. Registered Office: A company must have a registered office.
9. Common Seal A company must have a Common Seal.
10. Limited Liability: The liabilities of shareholder of a company are usually limited. The creditors of a company are not creditors of individual shareholders and a decree obtained against a company cannot be executed against any shareholders. It can only be executed against the assets of the company.
11. Transferability: The shareholder of a company can transfer its share and ordinarily the transferee becomes a member of the company.
12. Statutory Obligations: A company is required to comply with various statutory obligations regarding management, e.g. filing balance sheets, maintaining proper account books and registers etc.

13. Not a citizen: A company is an artificial person, not a natural person. Therefore a company is not a Citizen, although it may have a Domicile.
15. No fundamental rights: Though a company has no fundamental rights, it can challenge a law as void if the law happens to violate fundamental rights of citizens. In order to succeed the company must prove that the impugned law is expropriatory of a citizen's property.
16. Social Objective: The present view as regard the legal nature of Company Law is that the Company is a social institution having duties and responsibilities toward the community, its workers, the national economy and progress. (See next topic).
17. Centrally Administrated: The administration of Company Law is entrusted to the Central Government.

COMPANY AND PARTNERSHIP
The points of difference between a Partnership and a Company can be summed up as follows.

A company is regulated in accordance with the Companies Act, 1956 and its subsequent amendments, while a partnership is regulated by the Indian Partnership Act, 1932.

1. Registration: A company comes into existence only after registration under the Companies Act. Ir the case of a partnership, registration is not compulsory.

2. Minimum number of members: The minimum number of persons required to form a company is 2 in the case of private companies and 7 in the case of public companies. The minimum number of persons required to form a partnership is 2.

3. Maximum number of members: A public company may have any number of members. A private company cannot have more than 50 members A partnership carrying on banking business cannot have more than 10 members and partnership carrying on other types of business cannot have more than 20 members.

4. Legal status: A company is regarded by law as a single person. It has a legal personality. A partnership is a collection of individuals. It is not considered to be a single person.

5. Authority of members: The property of a partnership is the joint property of the partners. Each partner has authority to bind the firm by his acts. The property of the company belongs to the company. A shareholder in his individual capacity cannot bind the company in any way.
6. Contractual capacity: The shareholder of a company can enter into contracts with the company and can be an employee of the company. Partners can contract with other partners but not with the firm as a whole.

7. Management: A partnership firm is managed by the partners themselves. The work of management can be distributed among them in any manager they like.

A company is managed by the Board of Directors or Whole Time Directors or Managing Directors or Manager who are selected in the manner provided by the Act. A shareholder, as such, cannot participate in the management.

8. Length of existence: A company has perpetual succession. The death or insolvency of a member does not affect its existence.
9. Liability of members: The liability of the members of a partnership for the debts of the firm is unlimited. The liability of the members of a company is limited.
10. Transferability: A partner of a firm cannot transfer his interest in the firm to an outsider and make the transferee a partner without the consent of all the other partners. The shareholder of a company can ordinarily transfer his share and, the transferee becomes a member of the company.
11. Statutory obligations: A company is required to comply with various statutory obligations regarding management, eg. filing balance sheets, maintaining proper account books and registers. In the case of partnership there are no such statutory obligations.

TYPES OF COMPANIES

There are two types of companies-Public and Private.
1. Private Company

A private company is one which, by its articles, (a) restricts the right of the members to transfer their shares, if any; (6) limits the number of its members (not counting its employees) to 50. and (c) prohibits any invitation to the public to subscribe for any shares in, or debentures of, the company. Sec. 3(1)(iii). Where two or more persons hold one or more shares in a company, jointly, they shall, for the purposes of this definition, be treated as a single member.

2. Public Company: All companies other than private companies are called públic, companies.
Public companies may be classified into three types: (1) companies limited by shares, (ii) companies limited by guarantee, and (iii) unlimited companies.

Private companies may be limited by shares or limited by guarantee. There cannot be a private company with unlimited liability.

Company Limited by Shares

In these companies there is a share-capital, and each share has a fixed nominal value which the shareholder pays at a time or by installments. The member is not liable to pay anything more than the fixed value of the share, whatever may be the liabilities of the company. Most of the companies in India belong to this class.

Company Limited by Guarantee

In these companies, each member promises to pay a fixed sum of money in the event of liquidation of the company. This amount is called the Guarantee. Sometimes the members are required to buy a share of a fixed value and also give a guarantee for a further sum in the event of liquidation. There is no liability to pay anything more than the value of the share (where there is a share) and the guarantee.

Unlimited Company

In these companies the liability of the shareholder is unlimited, as in partnership firms. Such companies are permitted under the Companies Act but are not known.

HOLDING COMPANY AND SUBSIDIARY COMPANY

If a company can control the policies of another company (1) through the ownership of its shares or (ii) through control over the composition of its Board of Directors, the former (ie the controlling company) is called a Holding Company and the latter (te, the controlled company) is called its Subsidiary.

Sec. 4 of the Act lays down that a company shall be deemed to be a subsidiary of another company only if any one or more of the following conditions are satisfied

(a) If the composition of its Board of Directors is controlled by the other company. (8) (1) If it is an existing company in which the holders

of preference shares (issued before the commence- ment of the Act of 1956) have the same voting rights as the holders of equity shares, and the other company exercises or controls more than half of the total voting power of such company: or

(2) in any other case, if the other company holds more than half in nominal value of its equity share capital.
(c) If it is the subsidiary of a company which is itself the subsidiary of another company.

The following points are to be noted:

1. The composition of a Company's Board of Directors shall be deemed to be controlled by another company if that other company can appoint or remove the holders of all or a majority of the directorship.
2. In determining whether one company is a subsidiary of another, the shares held in a fiduciary capacity or as security for a loan or by virtue of any provision in any debentures, shall not be counted. But shares held as a nominee shall he counted, except in the three cases mentioned above (in a fiduciary capacity etc.).

DIFFERENCES BETWEEN A PRIVATE COMPANY AND A PUBLIC COMPANY

The main points of difference between the two types of companies are enumerated below

1. Number of members: The number of members in a private company cannot be less than two and cannot be more than fifty.
In a public company, the number of members cannot be less than seven but no maximum has been fixed. There may be any number of members.

2. Restrictions on transfer of shares: In a private company there must be regulations restricting the transfer of shares. In a public company there need not be any. By restricting transfer, a private company can prevent the membership of persons or classes of persons who are considered to be undesirable
3. Restriction on invitation to public: A private company cannot invite the public to purchase its shares or debentures. A public company may do so.

4. Restriction on name: A private company must add the words, "Private Limited" at the end of its name-
5. Prospectus: A private company need not field a prospectus or a statement in lieu of prospectus.
6. Issue of rights shares : When a public company proposes to increase its subscribed capital by the issue of new shares, it must be offered first to the existing equity shareholders pro rata, unless the members in a general meeting decide otherwise. This provision does not apply to private companies.

7. Commencement of business: A private company can commence business immediately on incorporation, whereas a public company has to wait until it obtains a certificate for the Commencement of Business.
8. Statutory Meeting and Statutory Report: A private company need not hold the Statutory Meeting or file the Statutory Report.

9. Managerial Remuneration In the case of public companies there are certain limits to managerial remuneration. This rule does not apply to a private company which is not a subsidiary of a public company.

10. Number of directors The Act provides that a private company must have at least 2 directors and a public company at least 3 directors.

11 Rules regarding directors :The rules regarding directors are less stringent in the case of private companies which are not subsidiaries of public companies. Following examples are given l

PRIVATE COMPANY INTO A PUBLIC COMPANY
Conversion
A private company can be converted into a public company by procedure stated as follows:

I. By resolution

(a) by passing a special resolution altering its articles so as to eliminate the three restrictions on private companies (viz., limitation of the number of members to 50; restrictions on the transfer of shares; prohibition of invitation to the public to buy shares or debentures), and

(b) filing with the Registrar, within 50 days, a prospectus or statement in lieu of prospectus.

II. By default
A private company may become a public company by default. Private company fails to comply with the essential requirements of a private company restrictions on transfer of shares; limitation of the number of members to 50; and, prohibition of invitation to the public to buy shares or debenture) it shall cease to enjoy the privileges of private companies and the company will be treated as if it were a public company.
Where not less than 25% of the paid-up share capital of a private company (having a share capital) is held by one or more. bodies corporate, the private company shall become a public company on and from the date on which the aforesaid percentage is first held. A company of this type has been called, "Statutory Public Company" or "Companies deemed to be." public The following further provisions of Section 43A are noted. to be
1. Privileges: Even after a private company has become a public company by virtue of Sec. 43A, its articles of association may continue to have the three restrictions characteristic of
private companies (viz., limitation of members to 50, restrictions on the transfer of shares and prohibition of invitation to the public to buy shares). The number of members of such a 'public' company, may also be reduced to below 7. It may continue to have only two directors.

2. Computation: In computing the aforesaid percentage, no account shall be taken of the shares of the company held by a Banking Company on trüst or as executors, etc.

3. Notice: A private company must inform the Registrar within 3 months of its becoming a public company under this section. The Registrar shall delete the word 'private' from the name, of the company and shall also make the necessary altérations in the Certificate of Incorporation and the Memorandum of Association of the company.

4. Approval A private company becoming a public company under this section shall continue as such until it has, with the approval of the Regional Director of the Company Law Board and in accordance with the provisions of the Act, again become a private company.

GOVERNMENT COMPANY
Definition

A Government Company is one in which not less than 51% of the paid up share capital is held by the Central Government and/or any State Government or Governments or by any two or more of them together. The subsidiary of such a company is also a Government Company.

THE MEMORANDUM AND ARTICLES OF ASSOCIATION

The first step in the formation of a company is the preparation of the Memorandum of Association and the Articles of Association of the proposed company. These two documents must be filed when application is made for the registration and incorporation of the company.

DEFINITIONS OF MEMO AND ARTICLES

The Memorandum of Association is a document which contains the fundamental rules regarding the constitution and activities of a company. It is the basic document which lays down how the company is to be constituted and what work it shall undertake. (The purpose of the memorandum is to enable the members of the company, its creditors, and the public to know what its powers are and what is the range of its activities.) The memorandum contains rules regarding the capital structure, the liability of the members, the objects of the company, and all other important matters relating to the company. The memorandum is the fundamental charter of the company.

(The Articles of Association is a document which contains rules regarding the internal management of the company. Articles must not violate any provision of the memorandum or any provision of the Companies Act. The rules laid down in the articles must always be read subject to the rules contained in the memorandum.

THE DISTINCTION BETWEEN THEM:

The distinction between the memorandum and the articles of association can be summed up as follows:

1. The memorandum is the fundamental charter of the company determining its constitution and objectives, the articles are rules regarding internal management.

2. Any rule in the articles contrary to the memorandum is invalid.

3. Articles can be altered easily, the memorandum can be altered only after the adoption of contain formalities.

THE FORM AND CONTENTS OF THE MEMORANDUM

The memorandum of association of every company shall contain the following particulars:

1. The name of the company with the word "limited" at the end of the name of a public company and the words "private limited" at the end of the name of a private company.

2. The name of the state in which the registered office of the company is to be situated.

3. The object of the company, and, except in the case of trading corporations, the State or States to whose territories the objects extend,

4. The nature of the liability of the members if whether limited by shares or by guarantee or unlimited,

5. In the case of a company having share capital-

(a) unless the company is an unlimited company, the memorandum shall state the amount of share capital and the division thereof into shares of a fixed amount;

(b) no subscriber of the memorandum shall take less than one share: and

c) each subscriber to the memorandum shall write opposite to his name the number of shares he takes.

RULES REGARDING THE NAME OF THE COMPANY

A company cannot adopt a name by which another company is registered.) If by inadvertence a name is selected which is the same as that of an existing company or closely resembles it, the name must be changed. A company cannot use a name which is considered undesirable by the Central Government.)

FORM AND CONTENTS OF THE ARTICLES OF ASSOCIATION

The Articles of Association contain regulations regarding the internal management of companies. An unlimited company, a company limited by guarantee and a private company limited by shares must file their articles of association at the time of registration of the company.

A public company may or may not file articles. If it does not, the regulations contained in Table A will apply to it. (Table A is a set of model articles printed in Schedule 1 to the Companies Act). The articles of a private company must contain the restrictive features peculiar to private companies (viz., limitation of the number of members to 50: restrictions on the transfer of shares; prohibition of invitation to the public for the purchase of shares and debentures).

In the case of a company limited by guarantee, the articles shall state the number of members with which the company is to be registered.

In the case of an unlimited company, the articles shall state the number of members with which the company is to be registered and, if the company has a share capital, the amount of such share capital.

ALTERATION OF THE MEMORANDUM

The Memorandum of Association of a company can be altered by following the procedure laid down in the Companies Act. The procedure is different for different clauses of the memo.

1. Change of Name. A company may change its name by special resolution provided the Central Government approves of the change.

If by inadvertence a company is registered with a name which is identical with or closely resembles the name of an existing company, the name may be changed by an ordinary resolution within a prescribed period. When the name is validly changed, the Registrar shall enter the new name in the Register of companies and shall issue a fresh Certi ficate of Incorporation. The Registrar shall also make the necessary alteration in the memorandum of association of the company.

2. Change of Object.

The object clause of the memo can be changed for the purpose of enabling the company:

(a) to carry on its business more economically or more efficiently:

(b) to attain its main purpose by new or improved means;

(c) to enlarge or change the local area of its operation:

(d) to carry on some business which under existing circumstances may conveniently or advantageously be combined with the objects specified in the memorandum:

(e) to restrict or abandon any of the objects specified in the memorandum: (f) to sell or dispose of the whole, or any part of the under- taking, of the company; or

(8) to amalgamate with any other company or body of persons.

The following procedure must be adopted for changing the object clause:

(i) A special resolution must be passed.

(ii) A petition must be filed in Court for confirmation of the change.

(iii) Notice must be given to all persons whose interests will be affected by the change (unless the Court otherwise directs).

(iv) The consent of the creditors of the Company must be obtained or their claims paid off or secured.

(v) Notice must be given to the Registrar of Companies, so that he can appear before the Court and state his objections and suggestions, if any.

(vi) After the Court has confirmed the alterations, a certified copy of the Court's Order, together with a printed copy of the Memo as altered, shall be filed with the Registrar within 3 months of the date of the order. The alteration takes effect after it is registered. If no registration office is being transferred. The records of the Company will be trapeferred to the latter place.

ALTERATION OF THE ARTICLES OF ASSOCIATION

1. No change is permitted which will violate the provisions of the Companies Act.

2. No change is permitted which is contrary to the conditions contained in the Memorandum of Association of the Company.

3. The alterations must not contain anything illegal.

4. The liability of the members or any class of members cannot be increased without their consent.

5. Alteration of certain provisions of the articles requires the previous consent of the Central Government.

WINDING UP

The winding up or liquidation of a Company means the termination of the legal existence of a Company by stopping its business, collecting its assets and distributing the assets among creditors and shareholders, in the manner laid down in the Act.

MODES OF WINDING UP

There are three methods of winding up a Company;

1. Compulsory Winding Up by the Court.
2. Voluntary Winding Up by the members themselves.
3. Voluntary Winding Up under the supervision of the Court.

COMPULSORY WINDING UP

Compulsory Winding Up takes place when a Company is directed to be wound up by an order of Court.

Grounds of Compulsory Winding Up.A company may be wound up by the court under the following circumstances:

(a) If the Company has, by special resolution, resolved that the Company be wound up by Court.

(b) If default is made in delivering the statutory report to the Registrar or in holding the statutory meeting. In this case the Court may instead of ordering winding up, direct the holding of the meeting and filing of the report and order the party responsible for the default to pay the costs of the proceedings before the court.

(c) If the Company does not commence its business within a year from its incorporation, or suspends its business for a whole year. The Court will not direct winding up under this clause if satis- factory reasons are given for the delay or suspension.

(d) If the number of members is reduced, in the case of a public Company to below seven, and in the case of a private Company to below two.

(e) If the Company is unable to pay its debts. [See below for the circumstances under which a company is deemed unable to pay its debts.]

(1) If the Court is of opinion that it is just and equitable that the Company should be wound up.

This clause gives a wide discretion to the Court and empowers the Court to order winding up in cases not coming within the previous five clauses. The following examples will show how the "just and equitable" clause has been used.

VOLUNTARY WINDING UP

Voluntary winding up means winding up by the members themselves without the intervention of the court.

Section 484 of the Act provides that a company can be wound up voluntarily under the following circumstances:

1. By an Ordinary Resolution of the members passed in a general meeting in the following cases

(a) where the duration of the company was fixed by the articles and the period has expired; and

(b) where the articles provided for winding up on the occurrence of any event and the specified event has occurred

2. By a Special Resolution passed by the members in all other cases.

When a resolution is passed for voluntary winding up, it must be notified to the public by an advertisement in the Official Gazette and in a local newspaper.

A voluntary winding up is deemed to commence at the time when the resolution for the winding up is passed.

DIFFERENCES BETWEEN MEMBERS' VOLUNTARY AND (REDITORS' VOLUNTARY WINDING U

1. The former applies to solvent companies and a declaration of solvency is necessary. The latter applies to insolvent companies and no declaration of solvents can be made.
2. In the former it is not necessary to have a creditors' meeting. In the latter there must be a creditor's meeting immediately following the members' meeting.
3. In the former, the liquidator is appointed by the members. In the latter both the members and the creditors may appoint a liquidation but if they comate different persons, the coeditor come becomes the liquidator.
4. In the former, there is no Committee of Inspection. In the Hatter there may be one.

WINDING UP SUBJECT TO THE SUPERVISION OF COURT

At any time after a company has passed a resolution for voluntary winding up, the court may make an order that the voluntary winding up shall continue but subject to the supervision of the court.

A supervision order is usually made for the protection of the creditors and contributories of the company. In Re Prince of Wales State Quarry Co., it was held that such an order may be passed if (a) the Liquidator under voluntary liquidation is partial or is negligent in collecting the assets (b) the rules relating to winding up are not being observed, or (c) the resolution for winding up was obtained by fraud.

A supervision order has the following effects:

1. It gives jurisdiction to the court over wits and legal proceedings against the company to the same extent as in a winding up directly by the court Sec. 523.
2. The court can appoint an additional liquidator or liquidators. The court can remove any liquidator and fill any vacancy caused by removal, death or resignation. The Official Liquidator may be ap pointed liquidator in such cases
3. Powers of the Liquidator. The liquidator in a winding up under the supervision of the Court can exercise all the powers of a liquidator in a voluntary winding up. But the Court can modify or limit his powers and can also give him additional powers Sections 525, 526 (1).

1. After a supervision order is passed the court can exercise all powers which it might have exercised it an order had been made for winding up by the court. Sec. 526 (2). The powers of the court include the power to make calls and to stay suits and proceedings.

DEFINITION OF TRADE UNION

In ordinary language the term Trade Union means an association of workers. The Act, however, defines the term very broadly as follows. "Trade Union' means any combination, whether temporary or permanent, formed primarily for the purpose of regulating the relations between workmen and employers, or between workmen and workmen, or between employers and employers, or for imposing restrictive Conditions on the conduct of any trade or business, and includes any Federation of two or more Trade Unions.

From the above it follows that a Trade Union may be temporary or permanent. A Trade Union may be formed for the purpose of regulating the relations between (i) workmen and employers or (ii) between workmen and workmen or (iii) between employers and employers. It may also be formed for the

purpose of imposing restrictive conditions on the conduct of any trade or business. A Federation of Trade Unions also comes within the definition.
The Trade Unions Act does not affect
(i) any agreement between partners as to their own business; (ii) any agreement between an employer and those employed by him as to such employment; or
(iii) any agreement in consideration of the sale of the goodwill of a business or of instruction in any profession, trade or handicraft.
The Payment of Wages, "Wages" means all remuneration, capable of being expressed in terms of money, which would be payable, conditionally or otherwise, to the employed person if the terms of the contract of employment were fulfilled.
(vi)The contract of employment may be express or implied. The remuneration payable is called wages even though it is payable conditionally, e.g., upon regular attendance, good work or good conduct.
The term "wages" includes the following:
(i) bonus or other additional remuneration of the nature aforesaid, and
(ii) any sum payable to such person by reason of the termination of the employment.
OTHER ACTS RELATING TO INDUSTRIES
The term "wages" does not include the following:
(a) the value of any house-accommodation, supply of light, water, medical attendance or other amenity, or of any service excluded by general or special order of the State Government;
(b) any contribution paid by the employer to any pension fund or provident fund;
(c) any travelling allowance or the value of any travelling concession:
(d) any sum paid to the person employed to defray special expenses entailed on him by the nature of his employment; or (e) any gratuity payable on discharge.
Who is responsible? The employer is responsible for the payment of wages. In the case of persons employed (otherwise than by a contractor) the following persons are also responsible for the payment of wages: (Sec. 3.)
(a) the person named as manager in a factory:
(b) in industrial establishments the person, if any, who is responsible to the employer for the supervision and control of the establishment;
(c) upon railways the person nominated by the railway ad- ministration in this behalf for the local area concerned.
Wage periods: The person responsible for the payment of wages shall fix the wage periods in respect of which, wages shall be payable. No wage period shall exceed one month.

Patents

Protect new inventions, discoveries, or processes. They give the creator the right to prevent others from making, using, or selling their invention for up to 20 years. Patents are granted based on criteria like novelty, utility, and ingenuity.

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